PRIVATE FINANCIAL
EDUCATION SERIES

A SIMPLE GUIDE

How Does an Indexed Universal Life (IUL) Policy Work?

Protection for your family + a savings account that can grow tax-free.
Everything you need to understand in about 60 seconds — no financial background required.

🛡️ **Protection**
Coverage when life happens

🌱 **Growth**
Cash value that can build

🏠 **Family Security**
Peace of mind for those you love

THE BIG IDEA

Think of an IUL Like a Financial Toolbox

Your money goes in one place — then gets split to do two jobs at once.

💵

Your Money Goes Into the Policy
A simple monthly contribution

↓

...and gets split into two buckets

BUCKET #1

Protection Bucket

Pays for life insurance that protects you and your family — today and down the road.

BUCKET #2

Savings Bucket

Builds cash value that has the opportunity to grow over time, with no market losses.

1 PROTECTION BUCKET

Life Happens. Your Protection Should Be Ready.

Part of your monthly contribution goes toward life insurance protection. If you experience a qualifying illness, it may help provide financial support while you are still living.

MAY HELP WITH:

- ✓ Medical Expenses
- ✓ Household Bills
- ✓ Mortgage Payments
- ✓ Everyday Living Expenses
- ✓ Family Financial Support

LIVING BENEFITS MAY APPLY TO

Critical Illness

Chronic Illness

Terminal Illness

↓

Cash Benefit
Money you can use when it matters most

And if you pass away, your loved ones may receive a **tax-free death benefit** that can help replace income, pay off expenses, or leave behind an inheritance.

2 SAVINGS BUCKET

Build a Nest Egg While You Are Alive

YOUR POLICY

💰 **Cash Value Account**

A portion of every contribution grows here

CONNECTED TO

S&P 500 Index

500 of America's largest companies

Apple | Microsoft | Amazon | Coca-Cola | Visa

Another portion of your contribution goes into the policy's **Cash Value Account.** This money has the opportunity to grow based on how a market index performs — such as the S&P 500.

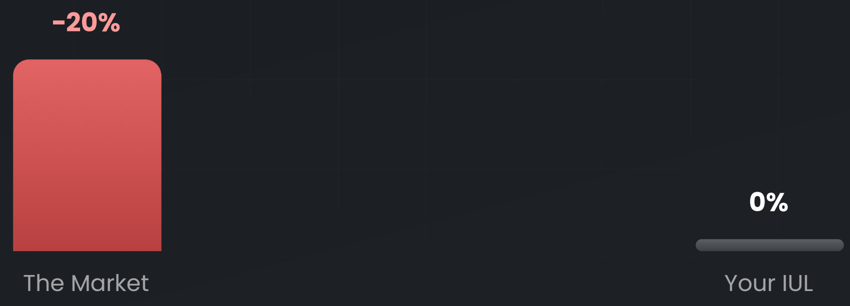
- ✓ Growth tied to a major market index
- ✓ You are **not** invested directly in the stock market
- ✓ Grows tax-deferred over time

THE BEST PART

The Floor & Cap: Protected on the Way Down, Growing on the Way Up

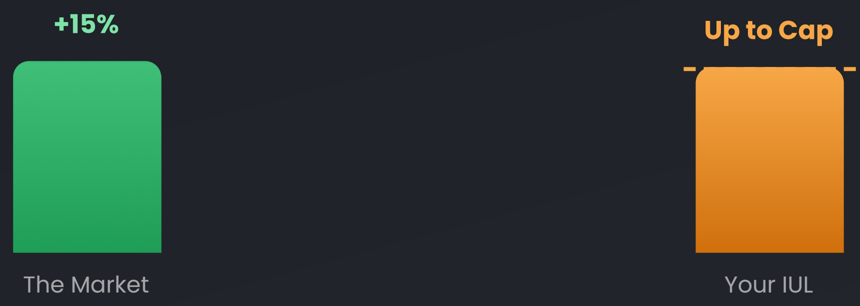
Here's the simplest way to picture it. Two kinds of years — and your account is built for both.

BAD MARKET YEAR



Protection Floor — your account doesn't lose value when the market drops.

GOOD MARKET YEAR



Growth Opportunity — your account can grow up to a maximum "cap."

No Market Losses. Opportunity For Growth.

Policy charges, fees, caps, participation rates, and crediting methods vary by carrier and policy design.

MONEY YOU CAN REACH

Access Your Money While You're Alive

Many policy owners may access available cash value through policy loans or withdrawals — flexibility for whatever life brings.

Opportunities

Emergencies

Retirement Income

Family Needs

Good to know: Loans and withdrawals may reduce policy values and benefits if not managed properly.

WHY IT MATTERS

Why Families Use Indexed Universal Life

- ✓ Life Insurance Protection
- ✓ Living Benefits
- ✓ Tax-Advantaged Growth Potential
- ✓ Protection From Market Losses
- ✓ Access To Cash Value
- ✓ Tax-Free Death Benefit

✓ Supplemental Retirement Income

★ All In One Simple Policy

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An Indexed Universal Life policy is designed to help protect what matters most while creating opportunities to build financial security for the future.

VALORAM SOLUTIONS

HELPING FAMILIES CREATE FINANCIAL CERTAINTY